

Notes: Bucher-Koenen, Hackethal, Koenen, and Laudenbach (AER, 2025)

Gender Differences in Financial Advice

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1 Big picture

- **Question.** Do financial advisors treat female and male clients differently, and if so, why? The paper studies whether gender affects the cost and type of investment advice in a real-world retail banking setting.
- **Setting.** The main data come from 26,955 documented advisory meetings between 13,239 retail clients and 4,495 financial advisors at a large German bank from 2010 to 2017. These administrative records are matched with client demographics, transactions, recommendations, product characteristics, and implementation decisions.
- **Additional evidence.** The administrative data are complemented with (i) a client survey measuring financial literacy, confidence, and motives for advice; (ii) an advisor survey measuring advisor beliefs about client groups; and (iii) an advisor experiment with 539 professional advisors, where gender information is experimentally revealed for otherwise nearly identical client profiles.
- **Main result 1: rebates.** Female clients are significantly less likely to receive rebates on front-end loads. Conditional on the same advisor recommending the same fund, women are about 1.8–2.1 percentage points less likely to receive a rebate, corresponding to a 5.7–6.6 percent lower probability relative to the average rebate rate.
- **Main result 2: product steering.** Women are more likely to be recommended expensive in-house multi-asset funds (IHMA funds). These products are convenient for advisors and profitable for the bank, but have high recurring fees.
- **Main result 3: annual costs.** Female clients receive recommendations with higher annual expense ratios and higher within-risk-category fee ranks. Once the regressions control for IHMA funds, the gender coefficient disappears, showing that the gender fee gap is driven by product steering into IHMA funds.
- **Main mechanism.** The evidence supports **statistical discrimination**: advisors use gender as a proxy for lower financial literacy, lower confidence, and lower price sensitivity. Female clients in the survey indeed score lower on financial literacy and confidence, and advisors know and act on these differences.
- **Advisor gender.** Male advisors engage more strongly in the gender-based pattern. Female advisors also show some gender differences, especially in rebates, but the product-steering and fee-rank differences are much stronger for male advisors.
- **Economic takeaway.** Advice may be most valuable for financially less confident clients, but exactly those clients may be more exposed to self-serving recommendations. The paper shows how a conflict of interest in expert advice can interact with gender and financial sophistication to amplify welfare losses.

2 Incremental contribution of the paper

- **From general advice quality to gendered advice quality.** The literature shows that conflicted financial advice can be costly. This paper adds that advice quality is not uniform across client groups: women receive more expensive and more bank-profitable recommendations than men.

- **Real-world meeting-level evidence.** Unlike audit studies or hypothetical experiments alone, the paper uses nearly 27,000 actual advisory meetings in a regulated banking environment where advisors were legally required to document recommendations and justifications.
- **Direct price-discrimination evidence.** The rebate analysis is particularly strong because it compares whether male and female clients receive different upfront-fee rebates for the *same fund*, recommended by the *same advisor*, at the recommendation level.
- **Product-steering evidence.** The paper studies both direct price concessions and indirect bank profitability through product choice. Advisors can discriminate not only by fees charged on a given product, but also by steering clients toward more expensive in-house products.
- **Mechanism triangulation.** The paper combines administrative data, client survey data, an advisor survey, and an experiment. This allows the authors to distinguish statistical discrimination from alternative explanations such as taste-based discrimination, stereotyping, negotiation, and nonmonetary preferences.
- **Experimental identification of gender as a signal.** In the advisor experiment, otherwise similar client profiles differ only in whether gender is revealed. Advisors perceive female profiles as less financially literate and less independent, and offer them lower rebates. When financial literacy information is later provided, the gender gap in rebates becomes insignificant.
- **Advisor-side heterogeneity.** The paper shows that discrimination is not only about client gender but also advisor gender, advisor confidence, and advisor financial literacy. Male advisors appear more willing or able to use gender as a pricing signal.
- **Welfare relevance.** The paper connects small fee differences to large compounding costs. A few percentage-point differences in fees or product choice can translate into meaningful wealth gaps over 10–20 years, especially for households already facing gender gaps in income, wealth, and retirement preparation.

3 Data and institutional setting

3.1 Administrative bank data

The core administrative data come from a large German bank. During the sample period, German implementation of MiFID I required advisors to document investment advice meetings in written advisory minutes. These records include the meeting purpose, duration, recommendation, and justification. The data are merged with client demographics, bank-held wealth, risk tolerance, transaction data, advisor identifiers, and product-level fund characteristics.

Important sample features:

- 26,955 advisory meetings.
- 13,239 retail clients.
- 4,495 advisors; 51.9 percent female and 48.1 percent male.
- 34,895 product recommendations; the average meeting has 1.31 recommendations.
- 45.9 percent of clients are female.

- Average financial wealth at the bank is about EUR 108,000; the median is EUR 67,500.
- Most meetings are in person and last at least 30 minutes.

Interpretation. This is a rare setting where the researcher observes not only final portfolio choices, but also the advisor’s recommendations and documented reasons. This makes it possible to separate advice supply from client implementation.

3.2 Product menus and advice process

Advice at the bank is standardized. Advisors mainly recommend actively managed mutual funds from preapproved menus. The paper focuses on mutual fund recommendations because the funds are diversified by design; therefore, the key quality dimension becomes cost.

Fund costs have two components:

- **Front-end loads:** upfront sales fees paid at purchase. Advisors can grant rebates up to 100 percent.
- **Annual expense ratios:** recurring fees paid as a share of invested assets. These matter especially for long-run wealth accumulation.

The bank’s in-house multi-asset funds (IHMA funds) are central. They combine stocks and bonds and are marketed as all-in-one products. They account for 64.4 percent of all fund recommendations, 70.7 percent of recommendations to women, and 59.6 percent of recommendations to men. Their average expense ratio is 2.47 percent, which is substantially higher than other in-house and non-in-house funds.

3.3 Client survey data

The client survey measures financial literacy, fund literacy, cost literacy, subjective knowledge, confidence, and reasons for seeking advice. It is matched to administrative data for up to 520 clients. This is important because the administrative bank data do not directly observe client financial aptitude.

3.4 Advisor survey

The advisor survey includes 331 professional advisors from different financial institutions. It measures advisor beliefs about gender differences in financial literacy, confidence, price sensitivity, and negotiation. It also measures advisors’ own literacy and confidence.

3.5 Advisor experiment

The advisor experiment includes 539 professional advisors. Advisors see ten stylized client profiles. Five pairs are nearly identical except for gender, shown through AI-generated twin-like portraits in the treatment group. The control group sees the same profiles without gender information. Advisors estimate each client’s financial literacy, fee sensitivity, independence, and the rebate they would

offer. In a second round, advisors are shown additional information about client quiz performance and confidence.

Interpretation. The experiment is crucial because it creates a clean test of whether gender itself changes advisors’ beliefs and intended actions when other observable client characteristics are held fixed.

4 Empirical specifications and interpretation

4.1 Rebate regression

The first main outcome is whether a recommendation receives a rebate on the front-end load. The recommendation-level specification is:

$$y_{ir} = \beta_0 + \beta_1 Female_i + \beta_2 Value_r + \beta_3 Personal_i + \beta_4 Meeting_{ir} + \mu_t + \mu_a + \mu_f + \epsilon_{ir}.$$

Here, y_{ir} equals one if recommendation r to client i includes a rebate. The regression includes month-by-year fixed effects, advisor fixed effects, and fund fixed effects at the ISIN level. The ISIN fixed effects are especially important because they compare rebates for the same fund.

Interpretation. The coefficient on $Female_i$ asks: when the same advisor recommends the same fund, is a female client less likely to receive a rebate than a male client, after controlling for recommendation value, risk tolerance, wealth, marital status, education, meeting format, and other factors?

4.2 Product recommendation regression

The second outcome is whether a meeting includes an in-house product or IHMA fund:

$$y_{ij} = \beta_0 + \beta_1 Female_i + \beta_2 Characteristics_i + \beta_3 Meeting_{ij} + \mu_t + \mu_a + \epsilon_{ij}.$$

The unit is the advisory meeting. The dependent variable is either an indicator for an in-house product, an indicator for IHMA fund recommendation, or the value-weighted share of IHMA funds.

Interpretation. This asks whether women are more likely to receive bank-profitable products, holding constant observed client characteristics and comparing within advisors over time.

4.3 Annual fee regressions

The paper studies both raw average annual expense ratios and within-risk-category fee rankings. The fee rank is constructed by sorting funds into quintiles within each risk category based on annual expenses, then computing a value-weighted average rank for each meeting.

Interpretation. Risk category matters because higher-risk products may naturally have higher fees. The fee-rank measure asks whether women are recommended costlier funds *within the same risk category*.

4.4 Adherence regression

The adherence outcome equals one if the client purchases the recommended fund within 30 days. Because adherence is measured after the recommendation, it is endogenous to the product offered and should be interpreted descriptively rather than causally.

$$y_{ir} = \beta_0 + \beta_1 Female_i + \beta_2 Characteristics_i + \beta_3 Meeting_{ir} + \mu_t + \mu_a + \gamma Price_{ir} + \epsilon_{ir}.$$

Interpretation. The adherence analysis asks whether women reject or accept the costly recommendations more often. The answer is that women are not less likely to follow recommendations; if anything, they are more likely to do so.

4.5 Rejection hypothesis regression

To test whether high-aptitude women reject poor advice, the paper estimates:

$$y_{ikr} = \beta_0 + \beta_1 Female_i + \beta_2(x_i \times Female_i) + \beta_3(x_i \times Male_i) + \beta_4 z_i + \mu_t + \bar{\mu}_{zk} + \epsilon_{ikr}.$$

Here x_i is a financial aptitude measure such as high financial literacy, high fund literacy, or high stock-market knowledge. The key prediction of statistical discrimination is that high-aptitude women are more likely to reject recommendations, because they may be misclassified by advisors who use gender as a noisy proxy for low sophistication.

Interpretation. The evidence supports this prediction: high aptitude reduces adherence for women but not for men.

5 Identification and mechanism logic

5.1 What the administrative data identify well

The rebate specification is the cleanest administrative test. Because it includes advisor and ISIN fixed effects, it compares male and female clients receiving the same fund recommendation from the same advisor. The remaining gender difference is difficult to explain by fund characteristics.

The product steering specifications are less direct but still informative. Advisor fixed effects ensure that results are identified by differences in the same advisor's recommendations to different clients. However, unobserved preferences could still partly matter, which motivates the survey and experimental evidence.

5.2 Why statistical discrimination is plausible

The paper's mechanism logic has four steps:

1. Female clients are less financially literate and less confident on average.
2. Advisors know or perceive this gender gap.

3. Advisors use gender as a signal when direct information about financial sophistication is limited.
4. Advisors connect perceived sophistication to price sensitivity and adjust rebates and recommendations accordingly.

The evidence fits all four steps. The client survey confirms the first. The advisor survey confirms the second. The experiment confirms the third. Figure 3 and the rebate behavior confirm the fourth.

5.3 Why the mechanism is not simply taste-based discrimination

Taste-based discrimination would imply that gender differences persist even after advisors receive more precise information about financial literacy. In the experiment, when advisors receive quiz information, the gender gap in rebates becomes insignificant. This is more consistent with statistical discrimination than animus.

5.4 Why negotiation matters but does not fully explain the result

Advisors perceive men as more price sensitive and more likely to negotiate rebates. But advisors also report offering rebates to male clients without being prompted. Thus, both demand-side negotiation differences and advisor-side strategic behavior contribute.

5.5 Why nonmonetary preferences matter but do not fully explain the result

Female clients more often report seeking advice for suitable asset allocation, motivation, and confidence. Meeting protocols more often justify recommendations to women using money-doctor language such as convenience and professional expertise. This may help explain why advisors can sell all-in-one IHMA funds to women. However, women are not more likely than men to follow IHMA recommendations once offered, so the evidence does not imply an active female preference for IHMA funds specifically.

6 Tables and figures

6.1 Figure 1: Client Profiles in the Experimental Advisor Survey

Read:

- The figure shows ten stylized client profiles used in the advisor experiment.
- Profiles form five male-female pairs with almost identical age, education, marital status, wealth, risk category, and investment objective.
- In the control group, advisors see the profiles without gender information; in the treatment group, gender is revealed through AI-generated twin-like portraits.
- The design aims to isolate gender as the treatment while holding constant other observable client characteristics.

Economic message: Figure 1 is the experimental design foundation of the paper. It shows how the authors move from observational gender differences in real advice to an experimentally controlled test of whether advisors use gender as a signal.



Figure 1: Client Profiles in the Experimental Advisor Survey

Figure 1: Client Profiles in the Experimental Advisor Survey

6.2 Tables 1 and 2: Rebates and Product Recommendations

Table 1 read:

- The dependent variable is an indicator for receiving a rebate on the front-end load.
- Across the full sample, the female coefficient is about -0.018 to -0.021 , meaning female clients are less likely to receive rebates.
- The regressions include month-by-year, advisor, and ISIN fixed effects, so the estimates compare different clients of the same advisor receiving the same product.
- The gender effect is larger for non-in-house products (-0.039) than for in-house products (-0.015).
- Higher recommendation value and higher bank-held wealth increase the probability of receiving a rebate.

Table 1 economic message: Female clients pay higher upfront sales fees even for the same product sold by the same advisor. This is direct price-discrimination evidence.

Table 2 read:

- Female clients are more likely to receive in-house product recommendations.

- Female clients are also more likely to receive recommendations for IHMA funds.
- With controls, the female coefficient is 0.028 for IHMA fund recommendation and 0.035 for the value-weighted share of IHMA funds.
- Risk tolerance strongly predicts IHMA fund use, especially for moderate risk clients.

Table 2 economic message: The gender gap is not only about explicit fee rebates. Advisors also steer women toward bank-profitable and high-cost in-house multi-asset funds.

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TABLE 1—REBATES ON FUND PURCHASES

	(1)	(2)	>50 recomm. (3)	Non-in-house (4)	In-house (5)
Female	−0.018 (0.008)	−0.021 (0.008)	−0.019 (0.008)	−0.039 (0.020)	−0.015 (0.008)
ln(value of recomm.)		0.044 (0.002)	0.044 (0.002)	0.045 (0.006)	0.043 (0.003)
ln(financial wealth)		0.007 (0.003)	0.008 (0.003)	0.007 (0.005)	0.008 (0.003)
Married		0.017 (0.008)	0.016 (0.008)	0.031 (0.020)	0.014 (0.008)
Age: < 50 (ref.)					
Age: 50 to 65		−0.019 (0.013)	−0.021 (0.013)	−0.015 (0.028)	−0.018 (0.013)
Age: older than 65		−0.007 (0.015)	−0.005 (0.015)	0.025 (0.034)	−0.002 (0.015)
Employed		−0.008 (0.012)	−0.007 (0.012)	0.016 (0.029)	−0.011 (0.012)
Academic		−0.017 (0.018)	−0.017 (0.018)	−0.031 (0.035)	−0.011 (0.019)
Manager		−0.003 (0.023)	−0.001 (0.023)	−0.020 (0.043)	0.014 (0.026)
Client-bank relationship		0.000 (0.000)	−0.000 (0.000)	−0.000 (0.001)	−0.000 (0.000)
Foreign citizen		−0.058 (0.016)	−0.054 (0.016)	−0.065 (0.041)	−0.054 (0.016)
Advice in-person		0.001 (0.012)	0.000 (0.012)	−0.044 (0.025)	0.002 (0.013)
Meeting duration: over 30 minutes		0.012 (0.009)	0.009 (0.009)	0.050 (0.022)	0.005 (0.009)
Constant	0.329 (0.005)	−0.171 (0.053)	−0.178 (0.055)	−0.086 (0.137)	−0.188 (0.057)
Controls	No	Yes	Yes	Yes	Yes
Month × year FE	Yes	Yes	Yes	Yes	Yes
Advisor FE	Yes	Yes	Yes	Yes	Yes
ISIN FE	Yes	Yes	Yes	Yes	Yes
Observations	27,898	27,898	26,411	6,194	20,860
R ²	0.310	0.327	0.324	0.459	0.340
Adjusted R ²	0.215	0.234	0.231	0.327	0.231

Notes: The dependent variable is an indicator equal to one if a client received a rebate on the upfront fee on a mutual fund purchase (front-end load). Specifications (1) and (2) include all fund purchases; specification (3) includes purchases of the 50 most frequently recommended funds. Specifications (4) and (5) condition on purchases of non-in-house and in-house products, respectively. Next to the reported controls there are additional control variables in columns 2–5: risk tolerance and investment horizon. All specifications include monthly time, advisor, and ISIN fixed effects. Standard errors are clustered at the client level and are reported in parentheses.

(a) Table 1: Rebates on Fund Purchases

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TABLE 2—DIFFERENCES IN PRODUCT RECOMMENDATIONS FOR MALE AND FEMALE CLIENTS

	In-house product		IHMA fund		Share IHMA fund
	(1)	(2)	(3)	(4)	(5)
Female	0.045 (0.005)	0.014 (0.005)	0.062 (0.006)	0.028 (0.006)	0.035 (0.006)
Risk tolerance low (ref.)			0.012	0.166	0.159
Risk tolerance moderate			0.010	0.013	0.013
Risk tolerance high			−0.057 (0.011)	0.070 (0.015)	0.053 (0.014)
Risk tolerance very high			−0.216 (0.013)	−0.132 (0.017)	−0.141 (0.016)
ln(value meeting recomm.)			0.038 (0.002)	0.010 (0.002)	−0.008 (0.002)
ln(financial wealth)			−0.013 (0.002)	−0.013 (0.002)	−0.013 (0.002)
Married			−0.014 (0.005)	−0.016 (0.006)	−0.020 (0.006)
Employed			0.008 (0.007)	0.000 (0.010)	−0.002 (0.010)
Academic			−0.013 (0.013)	−0.012 (0.016)	−0.015 (0.015)
Manager			0.003 (0.015)	−0.029 (0.019)	−0.023 (0.019)
Client-bank relationship			0.000 (0.000)	0.001 (0.000)	0.001 (0.000)
Foreign citizen			−0.005 (0.011)	−0.012 (0.014)	−0.006 (0.014)
Advice in-person			0.025 (0.008)	0.042 (0.009)	0.037 (0.009)
Meeting duration: Over 30 minutes			0.003 (0.006)	−0.003 (0.007)	−0.022 (0.007)
Constant	0.828 (0.003)	0.655 (0.036)	0.674 (0.004)	0.456 (0.048)	0.604 (0.047)
Controls	No	Yes	No	Yes	Yes
Month × Year FE	Yes	Yes	Yes	Yes	Yes
Advisor FE	Yes	Yes	Yes	Yes	Yes

(b) Table 2: Differences in Product Recommendations

6.3 Tables 3 and 4: Annual Fees and Advisor Gender

Table 3 read:

- Female clients receive recommendations with higher average annual expense ratios.
- The female coefficient is 0.016 without personal controls and 0.013 with controls.
- Female clients also receive higher within-risk-category fee ranks: 0.148 without controls and 0.128 with controls.
- IHMA funds raise average annual expenses by about 0.900 percentage points.
- Once the regressions control for IHMA funds, the female coefficient becomes essentially zero and insignificant.

Table 3 economic message: The recurring-cost gap is driven by product allocation. Female clients are not generally recommended more expensive funds within every product class; the main

channel is steering into IHMA funds.

Table 4 read:

- The regressions are split by advisor gender.
- Both male and female advisors are less likely to offer rebates to female clients.
- The IHMA recommendation effect is much larger for male advisors than for female advisors.
- The fee-rank effect is also larger for male advisors.
- Female clients are more likely to follow male advisors than male clients are.

Table 4 economic message: The gender gap in advice is mainly driven by male advisors. This suggests that advisor confidence, advisor sophistication, and client response to advisor gender matter for price discrimination.

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TABLE 3—DIFFERENCES IN AVERAGE ANNUAL EXPENSE RATIOS BY GENDER

	Average annual expenses		Average fee rank		Average annual expenses	
	(1)	(2)	(3)	(4)	(5)	(6)
Female	0.016 (0.006)	0.013 (0.006)	0.148 (0.019)	0.128 (0.019)	−0.004 (0.004)	−0.004 (0.005)
Risk category 1 (ref.)					0.283 (0.026)	0.284 (0.026)
Risk category 2	0.157 (0.041)	0.159 (0.041)			0.283 (0.026)	0.284 (0.026)
Risk category 3	1.310 (0.039)	1.302 (0.039)			0.764 (0.025)	0.765 (0.025)
Risk category 4	1.995 (0.038)	1.986 (0.038)			1.385 (0.024)	1.384 (0.024)
Risk category 5	2.155 (0.041)	2.147 (0.041)			1.751 (0.025)	1.749 (0.025)
Risk category 6	1.277 (0.039)	1.261 (0.039)			1.379 (0.024)	1.374 (0.024)
Risk category 7	1.329 (0.039)	1.308 (0.039)			1.365 (0.024)	1.359 (0.024)
IHMA fund					0.901 (0.010)	0.900 (0.010)
Constant	0.243 (0.038)	0.334 (0.047)	4.186 (0.012)	3.750 (0.089)	0.070 (0.022)	0.048 (0.030)
Personal controls	No	Yes	No	Yes	No	Yes
Meeting controls	No	Yes	No	Yes	No	Yes
Month × year FE	Yes	Yes	Yes	Yes	Yes	Yes
Advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	25,437	25,437	25,437	25,437	25,437	25,437
R ²	0.662	0.664	0.339	0.347	0.820	0.820
Adjusted R ²	0.614	0.615	0.244	0.253	0.794	0.794

Notes: The dependent variables in columns 1, 2, 5, and 6 are the average annual expense ratio, and in columns 3 and 4, the fee rank quintiles within each risk category averaged over all recommendations from a meeting. Standard errors are clustered by client level and are reported in parentheses. The risk category pertains to the value weighted average risk category of all recommended funds in a meeting. All regressions are estimated at the meeting level. Next to the reported control variables, there are additional control variables: ln(value recommendation),

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TABLE 4—DIFFERENCES IN RECOMMENDATIONS BY ADVISOR'S GENDER

	Rebate on front-end load		IHMA fund		Fee rank		Adherence	
	Female advisor (1)	Male advisor (2)	Female advisor (3)	Male advisor (4)	Female advisor (5)	Male advisor (6)	Female advisor (7)	Male advisor (8)
Female	−0.021 (0.011)	−0.019 (0.011)	0.009 (0.009)	0.032 (0.008)	0.067 (0.027)	0.150 (0.026)	−0.001 (0.011)	0.041 (0.010)
Constant	−0.102 (0.072)	−0.202 (0.075)	0.515 (0.078)	0.247 (0.063)	3.618 (0.231)	2.993 (0.216)	0.611 (0.095)	0.524 (0.074)
Personal controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Meeting controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Month × year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Advisor FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
ISIN FE	Yes	Yes	No	No	No	No	Yes	Yes
Observations	11,943	15,803	11,162	14,158	11,162	14,158	14,044	19,370
R ²	0.340	0.341	0.452	0.463	0.359	0.356	0.266	0.257
Adjusted R ²	0.223	0.252	0.355	0.390	0.245	0.268	0.149	0.170
F-test, prob > F	0.756		0.023		0.012		0.005	

Notes: The dependent variables are an indicator equal to one if a client received a rebate on the upfront fee on a mutual fund purchase (front-end load) (columns 1 and 2), an indicator equal to one if an IHMA fund was recommended during the meeting (columns 3 and 4), the fee rank quintiles within each risk category (columns 5 and 6), and an adherence indicator (columns 7 and 8). Standard errors are clustered at the client level and are reported in parentheses. Models are estimated separately for male and female advisors. The last row contains F-tests testing the difference between the coefficients in the male and the female model.

advised by male advisors. Female advisors also differentiate their recommendations

(a) Table 3: Average Annual Expense Ratios

(b) Table 4: Differences by Advisor Gender

6.4 Table 5 and Figure 2: Client Literacy and Advisor Beliefs

Table 5 read:

- Female clients score lower on general financial literacy, fund literacy, and cost literacy.
- Women report lower confidence to invest without an advisor.
- Women are more likely to cite suitable asset allocation and motivation as reasons for seeking advice.
- Men are more likely to say they seek a second opinion, consistent with greater independent engagement with investment decisions.

Table 5 economic message: Gender is correlated with financial aptitude, confidence, and advice motives. This provides the informational basis for statistical discrimination.

Figure 2 read:

- Panel A shows advisors' estimated distributions of male and female client quiz scores.
- Advisors believe female clients answer fewer financial literacy questions correctly.
- Panel B shows that advisors also perceive female clients as more insecure in financial decisions.

Figure 2 economic message: Advisors are aware of the average gender gap in financial sophistication. This supports the mechanism that gender becomes a practical signal in advice provision.

TABLE 5—FINANCIAL LITERACY OF BANK CLIENTS

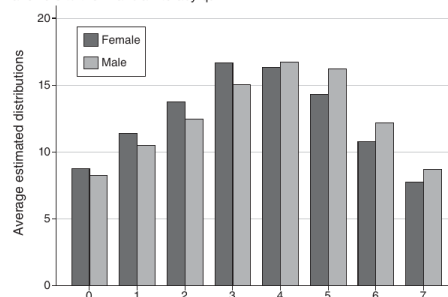
	All		Women		Men		T-test	
	N	Mean	N	Mean	N	Mean	Diff.	p-val
Financial literacy	520	3.165	158	2.987	362	3.243	0.256	0.003
Fund literacy	258	1.566	74	1.297	184	1.674	0.377	0.009
Cost literacy	259	0.927	74	0.730	185	1.005	0.276	0.012
Understand stock market	520	3.467	158	4.000	362	3.235	-0.765	0.000
Understand advisor incentives	221	4.801	71	4.493	150	4.947	0.454	0.068
Understand advisor conflict	258	4.632	74	4.405	184	4.723	0.317	0.101
Confidence to invest w/o adv.	221	3.330	71	3.915	150	3.053	-0.862	0.003
Reason adv: high return	198	0.394	65	0.415	133	0.383	-0.032	0.668
Reason adv: suitable asset alloc.	198	0.404	65	0.508	133	0.353	-0.154	0.038
Reason adv: avoid mistakes	198	0.369	65	0.354	133	0.376	0.022	0.764
Reason adv: motivation	198	0.212	65	0.292	133	0.173	-0.119	0.054
Reason adv: reassurance	198	0.217	65	0.169	133	0.241	0.071	0.255
Reason adv: second opinion	198	0.394	65	0.246	133	0.466	0.220	0.003

Notes: This table contains summary statistics for various financial literacy variables, individuals' confidence to invest without an advisor and clients' reasons for seeking advice from the client survey overall and by gender. N reports the number of respondents to the respective questions. In column 7 the difference in means between men and women and in column 8 the respective *p*-value of a two-sided t-test are reported.

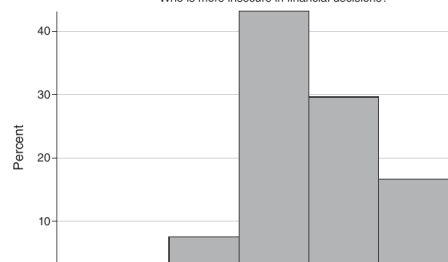
4 general financial literacy questions correctly, compared to 3.24 for men, and 0.73 versus 1.01 on cost literacy (see Table 5). Women also rate their stock market

(a) Table 5: Financial Literacy of Bank Clients

Panel A. Advisors' estimates of the distributions of the number of correct answers to the financial literacy quiz



Panel B. Advisors' estimates of the confidence of clients
Who is more insecure in financial decisions?



(b) Figure 2: Advisor Beliefs about Gender Differences

6.5 Table 6 and Figure 3: Experimental Evidence on Statistical Discrimination

Table 6 read:

- In the no-gender condition, advisors do not perceive meaningful differences between paired profiles.
- In the gender condition, female profiles are rated as less literate in investing and less independent in financial decisions.
- Female profiles receive lower hypothetical rebates than male profiles.
- In the second round, after explicit information on financial literacy and confidence is provided, the gender difference in rebates becomes insignificant.

Table 6 economic message: The experiment shows that gender information changes advisor beliefs and intended pricing, even when other characteristics are held fixed. When better information arrives, reliance on gender declines, which is exactly what statistical discrimination predicts.

Figure 3 read:

- The figure plots rebates against advisors' estimated client financial literacy.
- Higher perceived literacy is strongly associated with larger rebates.
- This relationship appears even in the experimental setting where advisors do not earn real commissions.

Figure 3 economic message: Advisors connect perceived financial sophistication to price concessions. This is the pricing channel through which gender beliefs affect rebates.

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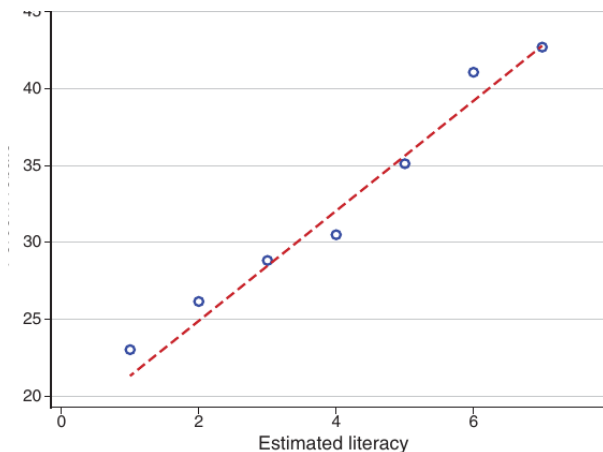
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TABLE 6—ADVISOR EXPERIMENTAL SURVEY:
BELIEFS AND ACTION DEPENDENT ON CLIENT GENDER

	No gender			Gender		
	Female	Male	t-stat	Female	Male	t-stat
<i>Panel A. Differences in advisor beliefs by treatment (gender versus no gender)</i>						
Literacy in investing	4.280	4.288	0.262	3.904	4.216	7.203
Consideration of fees	4.633	4.597	-0.987	4.482	4.537	1.330
Independence in financial decisions	3.996	4.022	0.769	3.660	4.060	8.202
Rebate on load (%)	33.419	32.715	-1.245	29.738	31.069	2.070
<i>Panel B. Differences in advisor beliefs before and after information provision</i>						
<i>1st round</i>						
<i>2nd round</i>						
Literacy in investing	4.219	4.571	6.859	4.352	4.504	3.781
Consideration of fees	4.577	4.668	1.759	4.591	4.618	0.637
Independence in financial decisions	3.935	4.462	8.932	4.062	4.332	5.762
Rebate on load (%)	30.040	31.519	1.889	32.056	32.426	0.517

Notes: This table provides results from our advisor experiment with 539 participants. Panel A shows estimates from round 1, while panel B provides estimates from rounds 1 and 2 (before and after the information provision). Panel A shows the differences in the advisor assessments of ten client profiles. This includes client literacy, relevance of fees, independence in investment decision-making, as well as their own willingness to grant a fee rebate to that client dependent on the treatment (gender versus no gender information given). Panel B shows the average assessments of advisors of six client profiles. This includes client literacy, the relevance of fees, independence in investment decision-making, as well as their own willingness to grant a fee rebate to that client, before and after being provided with information regarding

(a) Table 6: Advisor Experimental Survey



(b) Figure 3: Estimated Financial Literacy and Rebates

6.6 Figure 4 and Table 7: Negotiation, Price Sensitivity, and Rejection

Figure 4 read:

- Advisors perceive men as more price sensitive than women.
- Advisors believe male clients are more likely to negotiate rebates.
- Advisors also report being more likely to offer rebates to male clients, even without prompting.

Figure 4 economic message: Negotiation differences are not purely demand driven. Advisors' own supply-side behavior also contributes: they offer rebates more readily to men.

Table 7 read:

- The dependent variable is whether the client follows advice by purchasing the recommended product within 30 days.
- High financial aptitude is interacted with client gender.
- For women, high financial literacy, high fund literacy, and high stock-market familiarity are associated with lower adherence.
- For men, these aptitude measures do not significantly reduce adherence.

Table 7 economic message: High-aptitude women appear more likely to reject recommendations. This fits the rejection hypothesis: financially sophisticated women can recognize and avoid lower-quality advice caused by noisy gender-based statistical discrimination.

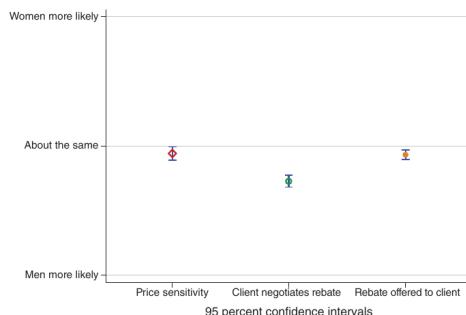


FIGURE 4. ADVISOR SURVEY: PRICE SENSITIVITY AND NEGOTIATIONS

Notes: This figure shows advisor perceptions on the price sensitivity, the probability of asking for a rebate, and the probability of offering a rebate for male versus female clients. The data are from an online survey of 331 financial advisors.

(a) Figure 4: Price Sensitivity and Negotiations

	Adherence					
	(1)	(2)	(3)	(4)	(5)	(6)
High financial literacy	−0.076 (0.095)					
High fund literacy		−0.746 (0.360)				
High stock market			−0.194 (0.102)			
High literacy × female				−0.298 (0.167)		
High literacy × male				0.057 (0.110)		
High fund literacy × female					−0.791 (0.351)	
High fund literacy × male					−0.429 (0.361)	
High stock market × female						−0.283 (0.143)
High stock market × male						−0.152 (0.119)
Constant	0.481 (0.199)	0.847 (0.267)	0.456 (0.199)	0.477 (0.200)	0.891 (0.287)	0.450 (0.199)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Month FE	Yes	Yes	Yes	Yes	Yes	Yes
Munkak correction	Yes	Yes	Yes	Yes	Yes	Yes
Observations	1,342	675	1,342	1,342	675	1,342
R ²	0.079	0.168	0.076	0.082	0.171	0.077

(b) Table 7: Following Financial Advice

6.7 Tables 8 and 9: Advisor Differences and Justifications

Table 8 read:

- Male and female advisors estimate similar gender gaps in client literacy.
- Female advisors are less confident in their estimates of client literacy.
- Female advisors have lower own test-based financial literacy and lower self-assessed literacy.
- Female advisors report feeling less well trained than male advisors.

Table 8 economic message: Female advisors are aware of the same average gender signal, but appear less confident or less equipped to use it strategically. This helps explain why male advisors engage more strongly in price and product discrimination.

Table 9 read:

- Advisors' written justifications are classified into money-doctor, investment-strategy, diversification, and return categories.
- Money-doctor justifications are more common for female clients: 36.2 percent versus 30.9 percent for male clients.
- Investment-strategy justifications are also more common for female clients.
- Diversification and return justifications are broadly similar across genders.

Table 9 economic message: Advisors frame recommendations to women more often in terms of convenience, reassurance, and professional delegation. This complements the statistical-discrimination story by showing how costly products are justified in meetings.

TABLE 8—ADVISOR SURVEY: DIFFERENCES IN BELIEFS AND CONFIDENCE BY ADVISOR GENDER

	Fem. advisors	Male advisors	t-stat	Data source
Incentivized choices:				
Estimated client literacy gap (points)	0.185	0.160	0.293	AS
Confidence in client estimates:				
Conf. in literacy estimates (f)	3.379	3.915	3.259	AS
Conf. in literacy estimates (m)	3.400	4.032	3.829	AS
Conf. in estimates client profiles	4.402	4.993	6.160	Exp. AS
(Confidence in) own abilities:				
Actual literacy score (0–7)	5.107	5.521	2.273	AS
Self-assessed literacy score (0–7)	5.043	5.858	5.285	AS
Feeling well-trained (1–5)	3.765	3.954	2.462	Exp. AS

Notes: This table shows differences in the beliefs and choices of advisors in our experimental advisor survey and the advisor survey based on their respective gender. Estimated client literacy gap refers to the differences in literacy that advisors assign to the population of female versus male clients. Conf. in literacy estimates refers to how confident advisors are on a scale from 1 (not at all) to 7 (very) concerning their estimates on the distribution of literacy in the population of female (f) and male (m) clients. Conf. in estimates client profiles refers to the confidence that advisors report concerning their estimates on the client profiles in the experimental advisor survey. Actual literacy score refers to the advisors' own score in the literacy quiz, while the self-assessed literacy score reflects their estimate of the number of questions they have answered correctly. Feeling well-trained refers to their assessment of how well-educated they feel for their job as an advisor on a 1–5 scale. Data Source informs about whether the variables

(a) Table 8: Advisor Beliefs and Confidence by Gender

TABLE 9—DIFFERENCES IN JUSTIFICATIONS FOR RECOMMENDATIONS

	Share of recommendations for		
	Female clients	Male clients	t-stat
Money doctors	0.362	0.309	–10.438
Investment strategy	0.499	0.474	–4.610
Diversification	0.585	0.592	1.404
Return	0.687	0.678	–1.777

Notes: This table provides information on the gender differences in the share of recommendations that come with a specific justification category by gender. Justifications are categorized based on textual analysis. More details on the coding are provided in Supplemental Appendix Table C1.

words in the justifications are “taking care,” “time-saving,” or “convenience,” which might appeal to individuals with lower financial abilities or confidence. The second category “investment strategy” refers to arguments in line with finding a suitable

(b) Table 9: Justifications for Recommendations

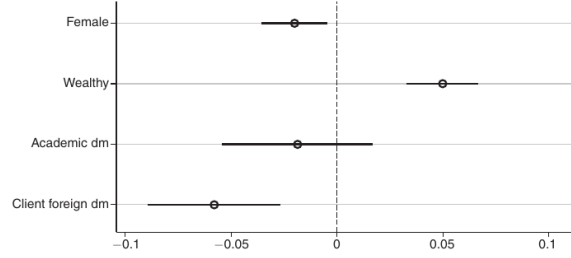
6.8 Figure 5: Is It All about Gender?

Read:

- Panel A shows that other characteristics also predict rebate outcomes in the administrative data.
- Wealthier clients are more likely to receive rebates, while foreign clients are less likely to receive rebates.
- Panel B shows that advisors perceive lower wealth, lower education, and non-German mother tongue as signals of greater financial insecurity and lower negotiation likelihood.
- Gender appears alongside these other signals as one of the most salient indicators of perceived sophistication.

Economic message: The paper’s logic is broader than gender alone. Advisors appear to use multiple signals of financial sophistication, but gender is especially prominent because it is visible, salient, and strongly associated with financial literacy and confidence.

Panel A. Administrative bank data



Panel B. Experimental advisors survey data



Figure 5: Group Differences in Recommendations and Advisor Beliefs

7 Mechanism map

Mechanism	Evidence consistent with it	Assessment
Statistical discrimination	Women have lower literacy/confidence; advisors know this; gender disclosure changes beliefs and rebates; information provision reduces gender gaps.	Main mechanism supported by the evidence.
Negotiation differences	Advisors think men are more price sensitive and more likely to negotiate; men request rebates more often.	Complementary mechanism, especially for upfront rebates.
Nonmonetary preferences	Women more often cite need for suitable allocation and confidence; money-doctor justifications are more common for women.	Helps explain product framing, but does not fully justify IHMA steering.
Taste-based discrimination	Would imply gender gaps persist even when financial literacy is revealed.	Less supported; gender gap in rebates disappears after information provision.
Stereotyping/motivated reasoning	Would require distorted beliefs about the gender gap.	Less supported; advisors do not systematically overstate the gender literacy gap relative to the benchmark.
Advisor gender differences	Male advisors show stronger IHMA and fee-rank gaps; female advisors are less confident and less literate in survey data.	Explains heterogeneity in the strength of statistical discrimination.

8 Short summary

- The paper studies gender differences in financial advice using real administrative bank data, client survey data, advisor survey data, and a randomized advisor experiment.
- Female clients are less likely to receive front-end-load rebates for the same fund from the same advisor.
- Female clients are more likely to receive recommendations for expensive in-house multi-asset funds.
- Recommendations to women have higher annual expense ratios and higher within-risk-category fee ranks.
- The higher annual cost gap is explained by IHMA fund recommendations.
- Women are not less likely to follow recommendations; if anything, they are more likely to adhere.
- High-aptitude women are more likely to reject advice, consistent with receiving lower-quality advice when advisors misclassify them based on gender.

- The main mechanism is statistical discrimination: advisors use gender as a proxy for lower financial literacy, lower confidence, and lower price sensitivity.
- Male advisors drive much of the product-steering and fee-rank gap.
- Negotiation differences and nonmonetary preferences matter, but they are complementary rather than complete explanations.
- The welfare implication is that clients who may benefit most from advice may also be most vulnerable to conflicted advice.

9 Conclusion

9.1 Core conclusion

Bucher-Koenen, Hackethal, Koenen, and Laudenbach provide robust evidence that financial advice differs by client gender. Women receive fewer rebates, more recommendations for expensive in-house multi-asset funds, and higher-fee recommendations. These patterns remain after controlling for a rich set of client characteristics, time effects, advisor fixed effects, and, in the rebate regressions, fund fixed effects.

9.2 Economic intuition

The central intuition is that financial advice is a credence good. Clients often cannot perfectly evaluate advice quality, while advisors and banks have incentives to sell products that generate more revenue. If advisors believe female clients are less financially sophisticated and less price sensitive, they may expect costly recommendations to be less likely rejected. Gender then becomes a proxy for willingness to pay or tolerance of fees.

9.3 Incremental contribution revisited

The paper is valuable because it does not stop at documenting a gender gap. It identifies the likely mechanism using multiple data sources. The real administrative data show what happens in actual meetings; the client survey shows that gender is correlated with financial sophistication; the advisor survey shows that advisors know this; the experiment shows that gender information changes advisors' beliefs and rebate choices; and the information-provision round shows that better client-specific information reduces reliance on gender.

9.4 Implications

The findings suggest that better disclosure alone may not solve the problem, especially if clients do not understand compounding fee effects. The paper points toward the need for clearer fee benchmarks, better advisor training, and possibly product menus or default advice systems that reduce room for conflicted product steering.

9.5 Limitations

- The administrative evidence is observational. Advisor and fund fixed effects reduce many concerns, but unobserved client preferences may still matter in product recommendations.
- The data come from one German bank and may not generalize mechanically to all financial institutions or countries.
- The adherence results are descriptive because clients' adherence depends on the endogenous recommendation they receive.
- The advisor experiment is hypothetical, although it is powerful because it isolates gender information and involves professional advisors.
- The paper focuses on costs and recommendations rather than fully realized long-run portfolio performance for every client.

9.6 Takeaway

The paper shows that gender interacts with conflicted expert advice. Women, who on average report lower confidence and financial literacy, receive more expensive recommendations and fewer price concessions. The best summary is: **financial advice may help women participate in investing, but conflicted advice can also make that participation more costly.**